

the amount you should bet to maximize the compounded return and that betting either a smaller or larger fraction will give you a smaller return. But what I don't understand is that the Kelly criterion seems to give all the weight to the return side. The only way the Kelly criterion reflects volatility is through its impact on return. Besides the fact that people are uncomfortable with high volatility, there is the very practical consideration that your down-and-out point is not zero as the Kelly criterion implicitly assumes, but rather your maximum tolerable drawdown. It seems to me that the criterion should be what maximizes growth subject to the constraint of minimizing the risk of reaching your cutout point.

Suppose you have a bankroll of \$1 million and your maximum tolerable drawdown is \$200,000. Then from the Kelly criterion perspective, you don't have \$1 million in capital, you have \$200,000.

So, in your example, you still apply the Kelly criterion, but you apply it to \$200,000. When you played blackjack, did you apply the Kelly criterion straightforward?

Yes, assuming I was sure the dealer was not cheating, because my objective was to make the most money, in the least time.

What about when you managed the fund?

When I managed the fund, I wasn't forced to make a Kelly criterion decision. If you use hedges to theoretically neutralize your risk, then the Kelly criterion might well imply using leverage. In Princeton Newport Partners where all positions were hedged, I found that I couldn't leverage up my portfolio as much as the Kelly criterion said I should.

Because?

Because the brokerage firms wouldn't give me that much borrowing power.

Does that imply that you would have traded the Kelly criterion if it was feasible in a practical sense?

I probably wouldn't have because if you bet half the Kelly amount, you get about three-quarters of the return with half the volatility. So it is